Illustration 9

Hari and Saleem are partners sharing profits and losses in the ratio of 5:3. They admit Joel for 1/8 share, which he acquires entirely from Hari. Find out the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Share sacrificed by old partners

Hari $= \frac{1}{8}$

Saleem $= 0$

Sacrificing ratio $= 1:0$

Old ratio of Hari and Saleem is 5:3 that is $\frac{5}{8}:\frac{3}{8}$

New share of old partner = Old share - Share sacrificed

Hari $= \frac{5}{8}-\frac{1}{8}=\frac{5-1}{8}=\frac{4}{8}$

Saleem $= \frac{3}{8}$

Share of new partner

Joel $= \frac{1}{8}$

New profit sharing ratio of Hari, Saleem and Joel is $\frac{4}{8}:\frac{3}{8}:\frac{1}{8}$ that is, 4:3:1

Illustration 10

Ravi and Kumar share profits and losses in the ratio of 7:3. Christy is admitted as a new partner with 3/7 share which he acquires 2/7 from Ravi and 1/7 from Kumar. Calculate the new profit sharing ratio and sacrificing ratio.

Solution

Computation of sacrificing ratio and new profit sharing ratio

Shares sacrificed $= \frac{2}{7},\frac{1}{7}$

Sacrificing ratio of Ravi and Kumar is 2:1

Old profit sharing ratio = 7:3 or $\frac{7}{10}:\frac{3}{10}$

New share of old partners = Old share - Share sacrificed

Ravi $= \frac{7}{10}-\frac{2}{7}=\frac{49-20}{70}=\frac{29}{70}$

Kumar $= \frac{3}{10}-\frac{1}{7}=\frac{21-10}{70}=\frac{11}{70}$

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